

WEEKLY INDICES REVIEW

Wednesday, 20 May 2026

Investor Report

This report is for informational and educational purposes only; please see the disclaimer at the end.

PRIMARY REGIME

Risk-on narrow US mega-cap leadership (72% confidence).

GEOPOLITICAL REGIME

Rates and energy-sensitive geopolitical risk.

MAIN TAKEAWAY

keep QQQ as the strongest earned sleeve, keep SPY under concentration review, and force IWM and EEM through named long-alternative and defensive-hedge duels before any new capital is assigned.



EXECUTIVE SUMMARY

CURRENT VALUATION BASIS

portfolio NAV is EUR 112,344.02, including EUR 15,566.74 cash, rebuilt from the 2026-05-20 close and FX reference date 2026-05-20.

GEOPOLITICAL IMPLICATION

Treat oil, rates and defense/geopolitical shocks as risk filters for small caps, EM and Europe.

WHAT CHANGED

Nasdaq leadership is stronger than small-cap breadth, so risk appetite remains narrow rather than broad.

PORTFOLIO IMPLICATION

Do not treat narrow U.S. leadership as full global breadth confirmation.

MAIN TAKEAWAY

keep QQQ as the strongest earned sleeve, keep SPY under concentration review, and force IWM and EEM through named long-alternative and defensive-hedge duels before any new capital is assigned.

Recommendation	Tickers / notes
Add	None this run. Cash remains available, but no challenger clears the full pricing, regime and relative-strength hurdle yet.
Hold	S&P 500 via SPY ; Nasdaq 100 via QQQ
Hold but replaceable	Russell 2000 via IWM ; Emerging Markets via EEM
Reduce	None until the direct alternative-duel evidence produces a cleaner replacement or hedge trigger.
Close	None this run.

BEST REPLACEMENTS TO MONITOR

- Japan large cap via [EWJ](#)
- Canada broad via [EWC](#)
- Greater China large cap via [FXI](#)

TOP 3 ACTIONS THIS WEEK

- Keep [QQQ](#) as the strongest core holding while leadership remains intact.
- Test [SPY](#) against [QQQ](#) overlap so U.S. exposure is not mistaken for full diversification.
- Force [IWM](#) and [EEM](#) through long-alternative and defensive/inverse comparisons before adding capital.

TOP 3 RISKS THIS WEEK

- Higher oil or sticky inflation delays easier policy and keeps pressure on weak breadth.
- [SPY](#) and [QQQ](#) remain a concentration cluster, not a diversified global allocation.

- [IWM](#) and [EEM](#) stay under review until breadth, USD and relative-strength evidence improve.

3

GLOBAL REGIME DASHBOARD

Lens	Current read	Portfolio implication
U.S. growth / earnings	Still resilient; AI and semis continue to lead	Supports QQQ and keeps SPY valid
Inflation	Higher oil is reviving inflation concerns	Keeps pressure on weak-margin cyclicals
Policy path	Fed-cut expectations have been pushed back	Less friendly for small caps and rate-sensitive beta
Europe	Flat-to-weaker tape under oil and geopolitical strain	Europe stays below the cut line for now
Japan	Better relative setup than Europe broad	EWJ remains one of the most credible add candidates
Canada	Commodity support is improving the case	EWC remains a real challenger, not filler
EM	Still investable, but more exposed to dollar/oil stress than U.S. leadership	EEM must pass a stricter review versus alternatives

The scan covers **29 exposures** across **15 regional/style buckets**. The board remains compact by design; broader coverage is shown later in the universe checkpoint.

Portfolio sleeve	Benchmark index	Tradable proxy	Regional / style bucket	Score	Status	Why it is on the board
U.S. mega-cap growth leadership	Nasdaq 100 Index	QQQ	U.S. core leadership	2.79	Funded	Growth leadership remains a core engine in the current opportunity set.
Broad emerging-market equity	Emerging Markets Proxy Benchmark	EEM	EM broad	2.76	Funded	Emerging markets add a measured non-U.S. risk sleeve while the dollar backdrop is less hostile.
U.S. large-cap core beta	S&P 500 Index	SPY	U.S. core leadership	2.54	Funded	Core U.S. large-cap exposure remains the cleanest starting anchor.
Japan developed equity	Nikkei 225 Index	EWJ	developed Asia-Pacific	2.29	Surfaced	Improves breadth or fills an important portfolio gap without forcing a low-conviction rotation.
U.S. small-cap breadth	Russell 2000 Index	IWM	U.S. core leadership	1.82	Funded	Domestic breadth improves diversification without dominating the book.

The board remains intentionally compact. The strongest omitted regional challenger this run is **U.S. Value Factor (VLUE)**, which remains close enough to matter without displacing a higher-ranked funded exposure.

5

KEY RISKS / INVALIDATORS

1. Oil remains elevated or spikes again, keeping inflation pressure high.
2. The Fed, ECB, or BOJ turns less market-friendly than expected.
3. U.S. mega-cap leadership finally cracks after a record run.
4. Russell 2000 continues to lag and confirms that breadth is weaker than it looks.
5. EM weakens under a stronger dollar or renewed commodity stress.
6. Pricing, ranking, scorecard, render, or send validation fails.

6

BOTTOM LINE

- The portfolio remains constructive but selective.
- U.S. leadership remains the core engine, but concentration must be watched.
- IWM and EEM remain funded but under review versus clearer challengers.
- Inverse instruments are not base-case positions, but the hedge map is ready if breadth breaks.

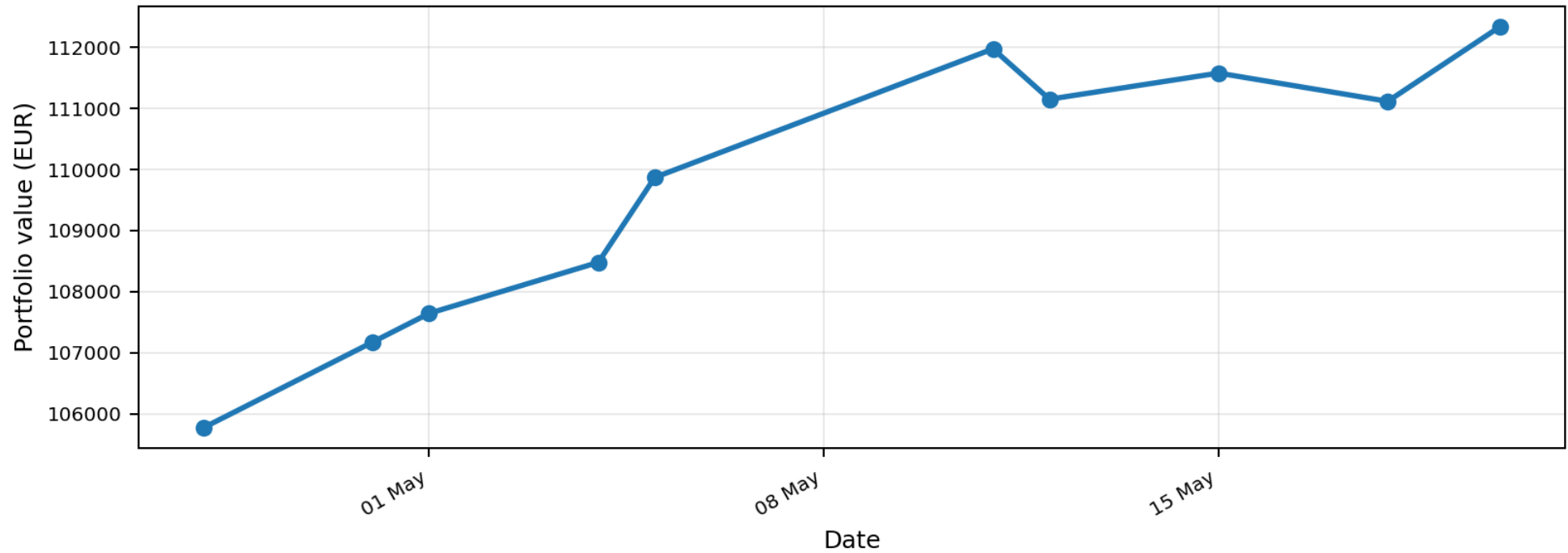


EQUITY CURVE AND PORTFOLIO DEVELOPMENT

- Starting capital (EUR): 100000.00
- Current portfolio value (EUR): 112344.02
- Since inception return (%): 12.34
- Equity-curve state: Live tracked
- Pricing basis requested close date: 2026-05-20
- FX reference date: 2026-05-20
- Notes: Holdings and NAV are rebuilt from the pricing/state layer for the requested close date 2026-05-20.

Date	Portfolio value (EUR)	Comment
2026-04-27	105772.19	Pricing basis close 2026-04-27
2026-04-30	107173.81	Pricing basis close 2026-04-30
2026-05-01	107643.74	Pricing basis close 2026-05-01
2026-05-04	108478.51	Pricing basis close 2026-05-04
2026-05-05	109869.46	Pricing basis close 2026-05-05
2026-05-11	111975.43	Pricing basis close 2026-05-11
2026-05-12	111151.27	Pricing basis close 2026-05-12
2026-05-15	111578.74	Pricing basis close 2026-05-15
2026-05-18	111116.08	Pricing basis close 2026-05-18
2026-05-20	112344.02	Pricing basis close 2026-05-20

Equity Curve (EUR)



Tradable Proxy Performance

Performance is calculated on the tradable ETF proxies used for portfolio valuation. Benchmark index prices remain the analysis reference; tradable proxy closes drive market value, P/L and contribution.

Portfolio sleeve	Benchmark index	Tradable proxy	Weight %	1w return	1m return	3m return	Since-entry	P/L EUR	Contribution %
S&P 500	S&P 500 Index	SPY	25.03	-0.14%	+4.59%	+8.29%	+12.34%	3,088.72	+2.75%
Nasdaq 100	Nasdaq 100 Index	QQQ	26.27	-0.22%	+10.26%	+18.17%	+16.71%	4,224.00	+3.76%
Russell 2000	Russell 2000 Index	IWM	19.33	-0.99%	+0.91%	+5.77%	+6.92%	1,405.09	+1.25%
Emerging Markets	Emerging Markets Proxy Benchmark	EEM	15.52	-2.60%	+3.61%	+7.24%	+14.38%	2,192.30	+1.95%

WEEKLY INDICES REVIEW

Wednesday, 20 May 2026

PART II

Analyst Report

Research depth, scenario framing and implementation detail

8

REGIONAL / STYLE ALLOCATION MAP

Region / style bucket	Current view	Comment
U.S. mega-cap / quality growth	Overweight	QQQ remains the strongest sleeve
U.S. broad large cap	Neutral-positive	SPY still works, but overlap must be tested
U.S. small cap	Under active review	IWM is funded, but no longer a passive hold
Continental Europe	Underweight	Oil and geopolitical sensitivity remain a drag
UK	Lower priority	Not yet strong enough versus Japan or Canada
Switzerland	Watchlist	Defensive quality, but not top-ranked yet
North America ex-U.S.	Improving	Canada remains a real challenger
Japan	Positive	Strongest developed ex-U.S. lane
Greater China	Tactical watch	FXI remains a real breadth candidate
India	Tactical watch	Still interesting, but not top-ranked today
EM broad	Neutral-positive but under review	EEM must beat more selective alternatives

- Higher oil pushes inflation expectations higher and keeps easier policy further away.
- A later Fed-cut path matters more for IWM than for QQQ.
- Europe remains more energy-sensitive than the U.S. or Canada.
- Commodity strength helps Canada more directly than Europe broad.
- If U.S. leadership finally weakens, RWM likely activates before SH.
- If dollar pressure rises again, EUM becomes more relevant against EEM.

S&P 500 / [SPY](#)

- Would initiate today: Yes.
- Would initiate at current weight: Yes, but only after explicit overlap review versus QQQ.
- Thesis score: 4.1 / 5.
- Implementation score: 3.9 / 5.
- Best alternative: VOO / QUAL / partial redeployment toward EWJ.
- Required next action: test whether SPY still diversifies the book or mainly duplicates U.S. mega-cap growth beta.

Nasdaq 100 / [QQQ](#)

- Would initiate today: Yes.
- Would initiate at current weight: Yes.
- Thesis score: 4.4 / 5.
- Implementation score: 4.3 / 5.
- Best alternative: QQQM.
- Required next action: keep as top core holding unless leadership clearly breaks.

Russell 2000 / [IWM](#)

- Would initiate today: Smaller / Unresolved.
- Would initiate at current weight: No.

- Thesis score: 3.2 / 5.
- Implementation score: 2.9 / 5.
- Best alternative: EWJ on the long side, RWM on the defensive side.
- Required next action: force direct alternative duel; upgrade, reduce, replace, or close.

Emerging Markets / EEM

- Would initiate today: Smaller / Unresolved.
- Would initiate at current weight: No.
- Thesis score: 3.3 / 5.
- Implementation score: 2.9 / 5.
- Best alternative: FXI / INDA on the selective long side, EUM on the defensive side.
- Required next action: force direct alternative duel; upgrade, reduce, replace, or close.

Long-side Opportunities

The strongest omitted regional challenger this run is **KOSPI 200 / Korea large cap (EWY)**. It improves breadth and remains close enough to the live board to stay visible in the report.

1. KOSPI 200 / KOREA LARGE CAP (EWY)

- Portfolio sleeve: South Korea semiconductor / export cycle
- Regional / style bucket: Korea / Taiwan
- Challenger score: 2.43
- Proxy eligibility: Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.
- Why it matters: Ranks well internally but remains just below the current publication cutoff.
- Why not on the board yet: Strong challenger, not yet funded

2. MSCI TAIWAN / TAIWAN LARGE CAP (EWT)

- Portfolio sleeve: Taiwan semiconductor supply-chain leadership
- Regional / style bucket: Korea / Taiwan
- Challenger score: 2.29
- Proxy eligibility: Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.
- Why it matters: Ranks well internally but remains just below the current publication cutoff.
- Why not on the board yet: Strong challenger, not yet funded

3. U.S. VALUE FACTOR (VLUE)

- Portfolio sleeve: U.S. value factor
- Regional / style bucket: U.S. factor / style alternatives
- Challenger score: 2.24

- Proxy eligibility: Liquid U.S.-listed ETF proxy; eligible for ranking subject to pricing and history.
- Why it matters: Ranks well internally but remains just below the current publication cutoff.
- Why not on the board yet: Strong challenger, not yet funded

4. S&P/TSX 60 ([EWC](#))

- Portfolio sleeve: Canada resources / financials
- Regional / style bucket: North America ex-U.S.
- Challenger score: 1.83
- Proxy eligibility: Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.
- Why it matters: Ranks well internally but remains just below the current publication cutoff.
- Why not on the board yet: Strong challenger, not yet funded

Alternative Duel Table

Current exposure	Current proxy	Alternative / hedge	Alternative proxy	Type	20d edge	60d edge	Regime fit	Decision	Required trigger
S&P 500	SPY	Nasdaq 100	QQQ	Long alternative	+4.63%	+9.42%	candidate	Alternative improving; keep replacement duel active.	Momentum proof is present. QQQ increases U.S. mega-cap / technology concentration, so funding requires explicit concentration room versus the SPY / QQQ overlap limit.
S&P 500	SPY	Euro Stoxx 50	FEZ	Long alternative	-7.54%	-12.01%	watchlist	Current exposure still leads; no replacement.	Needs both 20d and 60d relative-strength improvement before funding. Europe can improve regional diversification, but funding requires evidence that earnings and policy support are strong enough to offset weaker momentum.
S&P 500	SPY	Nikkei 225	EWJ	Long alternative	+0.02%	-1.29%	watchlist	Early improvement only; wait for 60d confirmation.	Early improvement only; needs positive 60d confirmation before funding. Japan can improve regional diversification, but funding requires confirmation that currency and yield volatility do not overwhelm the diversification benefit.
Nasdaq 100	QQQ	S&P 500	SPY	Long alternative	-4.63%	-9.42%	watchlist	Current exposure still leads; no replacement.	Needs both 20d and 60d relative-strength improvement before funding. SPY lowers concentration versus QQQ , but funding only makes sense if broader U.S. participation improves.
Nasdaq 100	QQQ	Russell 2000	IWM	Long alternative	-7.61%	-11.08%	watchlist	Current exposure still leads; no replacement.	Needs both 20d and 60d relative-strength improvement before funding. IWM improves breadth exposure, but funding requires small-cap breadth and real-rate conditions to improve.

Current exposure	Current proxy	Alternative / hedge	Alternative proxy	Type	20d edge	60d edge	Regime fit	Decision	Required trigger
Nasdaq 100	QQQ	Inverse hedge for Nasdaq 100	PSQ	Defensive / inverse	n/a	n/a	inactive	Not decision-grade this week — relative-strength proof incomplete.	Nasdaq leadership remains intact.
Russell 2000	IWM	S&P 500	SPY	Long alternative	+2.99%	+1.66%	candidate	Alternative improving; keep replacement duel active.	Momentum proof is present. SPY is the cleaner U.S. risk sleeve if small-cap breadth remains weak.
Russell 2000	IWM	Inverse hedge for Russell 2000	RWM	Defensive / inverse	n/a	n/a	watchlist	Not decision-grade this week — relative-strength proof incomplete.	Small-cap breadth remains weak versus SPY.
Emerging Markets	EEM	Nifty 50	INDA	Long alternative	-6.35%	-12.57%	watchlist	Current exposure still leads; no replacement.	Needs both 20d and 60d relative-strength improvement before funding. India improves structural growth quality versus broad EM, but funding requires valuation and concentration discipline.
Emerging Markets	EEM	China large cap	FXI	Long alternative	-0.83%	-1.81%	watchlist	Current exposure still leads; no replacement.	Needs both 20d and 60d relative-strength improvement before funding. China can recover quickly, but funding requires policy credibility and price confirmation, not only mean-reversion potential.
Emerging Markets	EEM	S&P 500	SPY	Long alternative	+0.85%	+3.34%	candidate	Alternative improving; keep replacement duel active.	Momentum proof is present. SPY reduces EM/USD risk, but funding would reduce non-U.S. diversification.
Emerging Markets	EEM	Inverse hedge for Emerging Markets	EUM	Defensive / inverse	n/a	n/a	inactive	Not decision-grade this week — relative-strength proof incomplete.	Dollar pressure is not strong enough to activate EM inverse readiness.

Best Defensive / Inverse Opportunities

These instruments are defensive tools only. They are not part of the base-case long allocation.

Candidate	Underlying	Status	Short thesis	Trigger	Invalidation	Max role
RWM	IWM / Russell 2000	Watchlist	Small caps remain vulnerable when breadth is weak and real rates are restrictive.	IWM underperforms SPY while breadth and credit fail to improve.	Broad easing impulse plus improving small-cap relative strength.	Defensive hedge only; not a long-side opportunity.
EUM	EEM / Emerging Markets	Inactive / monitor only	EM remains vulnerable when USD pressure and China confidence risk rise.	UUP strengthens while EEM breaks relative support.	USD weakens and China / EM breadth confirms upside.	Defensive hedge only; not a long-side opportunity.

Candidate	Underlying	Status	Short thesis	Trigger	Invalidation	Max role
PSQ	QQQ / Nasdaq 100	Inactive / monitor only	Nasdaq hedge only becomes relevant if mega-cap leadership breaks.	QQQ loses relative strength versus SPY and breadth fails.	QQQ leadership remains intact.	Crash / drawdown hedge only; not a base-case allocation.

Breadth checkpoint by regional bucket

Regional / style bucket	Strongest candidate	Proxy	Candidate count	Eligible proxies	Challenger score	Current status
U.S. core leadership	Nasdaq 100	QQQ	3	3	1.99	Published
U.S. factor / style alternatives	U.S. Value Factor	VLUE	4	4	2.24	Close challenger, not funded
continental Europe	FTSE MIB	EWI	6	6	1.68	Close challenger, not funded
UK	FTSE 100	EWU	1	1	1.30	Close challenger, not funded
Switzerland	SMI	EWL	1	1	1.26	Close challenger, not funded
North America ex-U.S.	S&P/TSX 60	EWC	1	1	1.83	Close challenger, not funded
developed Asia-Pacific	Nikkei 225	EWJ	2	2	2.42	Published
Korea / Taiwan	KOSPI 200 / Korea large cap	EWY	2	2	2.43	Close challenger, not funded
Greater China	China large cap	FXI	2	2	1.77	Close challenger, not funded
India	Nifty 50	INDA	1	1	0.74	Lower priority this run
Latin America	Mexico large cap	EWW	2	2	1.46	Close challenger, not funded
Africa	South Africa large cap	EZA	1	1	0.57	Lower priority this run
ASEAN	Indonesia large cap	EIDO	1	1	0.50	Lower priority this run
Middle East	Saudi Arabia large cap	KSA	1	1	1.05	Close challenger, not funded
EM broad	Emerging Markets	EEM	1	1	2.11	Published

Universe scan checkpoint

Portfolio sleeve	Benchmark index	Regional / style bucket	Tradable proxy	Proxy eligibility	Published?	Challenger score	Why not on the board yet
South Korea semiconductor / export cycle	KOSPI 200 Index	Korea / Taiwan	EWY	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	2.43	Strong challenger, not yet funded

Portfolio sleeve	Benchmark index	Regional / style bucket	Tradable proxy	Proxy eligibility	Published?	Challenger score	Why not on the board yet
Japan developed equity	Nikkei 225 Index	developed Asia-Pacific	EWJ	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	Yes	2.42	Included on the board
Taiwan semiconductor supply-chain leadership	Taiwan Weighted Index	Korea / Taiwan	EWT	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	2.29	Strong challenger, not yet funded
U.S. value factor	MSCI USA Value proxy benchmark	U.S. factor / style alternatives	VLUE	Liquid U.S.-listed ETF proxy; eligible for ranking subject to pricing and history.	No	2.24	Strong challenger, not yet funded
Broad emerging-market equity	Emerging Markets Proxy Benchmark	EM broad	EEM	Funded or directly fundable if portfolio rules permit.	Yes	2.11	Included on the board
U.S. mega-cap growth leadership	Nasdaq 100 Index	U.S. core leadership	QQQ	Funded or directly fundable if portfolio rules permit.	Yes	1.99	Included on the board
Canada resources / financials	S&P/TSX Composite Index	North America ex-U.S.	EWC	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	1.83	Strong challenger, not yet funded
Mainland China policy beta	CSI 300 Index	Greater China	FXI	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	1.77	Strong challenger, not yet funded
U.S. quality factor	MSCI USA Quality proxy benchmark	U.S. factor / style alternatives	QUAL	Liquid U.S.-listed ETF proxy; eligible for ranking subject to pricing and history.	No	1.76	Strong challenger, not yet funded
U.S. large-cap core beta	S&P 500 Index	U.S. core leadership	SPY	Funded or directly fundable if portfolio rules permit.	Yes	1.74	Included on the board
Italy high-beta Europe financial / industrial beta	FTSE MIB Index	continental Europe	EWI	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	1.68	Strong challenger, not yet funded
Netherlands technology / global industrial tilt	AEX Index	continental Europe	EWN	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	1.47	Strong challenger, not yet funded
Mexico nearshoring / industrial beta	S&P/BMV IPC Index	Latin America	EWW	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	1.46	Strong challenger, not yet funded
U.S. equal-weight breadth	S&P 500 Equal Weight Index	U.S. factor / style alternatives	RSP	Liquid U.S.-listed ETF proxy; eligible for ranking subject to pricing and history.	No	1.41	Strong challenger, not yet funded
UK defensive yield / energy / financials	FTSE 100 Index	UK	EWU	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	1.30	Strong challenger, not yet funded

Portfolio sleeve	Benchmark index	Regional / style bucket	Tradable proxy	Proxy eligibility	Published?	Challenger score	Why not on the board yet
U.S. minimum-volatility defensive equity	MSCI USA Minimum Volatility proxy benchmark	U.S. factor / style alternatives	USMV	Liquid U.S.-listed ETF proxy; eligible for ranking subject to pricing and history.	No	1.28	Strong challenger, not yet funded
Switzerland defensive quality	Swiss Market Index	Switzerland	EWL	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	1.26	Strong challenger, not yet funded
Germany cyclical industrial beta	DAX Index	continental Europe	EWG	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	1.21	Strong challenger, not yet funded
U.S. small-cap breadth	Russell 2000 Index	U.S. core leadership	IWM	Funded or directly fundable if portfolio rules permit.	Yes	1.12	Included on the board
Saudi Arabia energy / Gulf reform beta	Tadawul All Share Index	Middle East	KSA	Specialist country ETF proxy; review liquidity and spread before funding.	No	1.05	Strong challenger, not yet funded
Hong Kong large-cap China-linked equities	Hang Seng Index	Greater China	EWH	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	1.01	Strong challenger, not yet funded
Spain domestic-cycle / financial beta	IBEX 35 Index	continental Europe	EWP	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	0.99	Strong challenger, not yet funded
Australia resources / banks / China sensitivity	S&P/ASX 200 Index	developed Asia-Pacific	EWA	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	0.93	Strong challenger, not yet funded
Europe broad large-cap core	EURO STOXX 50 Index	continental Europe	FEZ	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	0.85	Relative strength not strong enough yet
India domestic growth / reform compounder	Nifty 50 Index	India	INDA	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	0.74	Relative strength not strong enough yet
Brazil commodity / rates-sensitive LatAm beta	Bovespa Index	Latin America	EWZ	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	0.71	Relative strength not strong enough yet
France consumer / industrial Europe	CAC 40 Index	continental Europe	EWQ	Liquid country ETF proxy; eligible for ranking subject to pricing and macro fit.	No	0.64	Relative strength not strong enough yet
South Africa resources / EM value beta	JSE Top 40 Index	Africa	EZA	Specialist country ETF proxy; review liquidity and spread before funding.	No	0.57	Relative strength not strong enough yet
Indonesia domestic demand / commodities	Jakarta Composite Index	ASEAN	EIDO	Specialist country ETF proxy; review liquidity and spread before funding.	No	0.50	Relative strength not strong enough yet

This run: no executed rotation before the fresh workflow rebuild.

Most likely next-step rotation path if conditions persist:

1. Keep QQQ as the strongest core holding.
2. Review whether SPY stays at full size or should share capital with a non-U.S. challenger.
3. Force the IWM versus EWJ / RWM decision.
4. Force the EEM versus FXI / INDA / EUM decision.
5. Deploy part of cash only if the ranking, pricing, and scorecard align cleanly.

What would change this plan:

- Oil falling decisively and easing inflation pressure.
- Europe or UK suddenly improving enough to challenge Japan and Canada.
- Small-cap breadth recovering clearly enough to re-justify IWM.
- EM breadth improving without renewed dollar pressure.

13

FINAL ACTION TABLE

Ticker	Public index / exposure	Existing/ New	Target Weight	Suggested Action	Conviction Tier	Total Score	Portfolio Role	Better Alternative Exists?	Short Reason
SPY	S&P 500	Existing	Under review	Hold	Tier 1	Under review	Core beta	Under review	Still valid, but overlap with QQQ must be tested
QQQ	Nasdaq 100	Existing	Under review	Hold	Tier 1	Under review	Growth engine	No urgent need	Strongest current holding
IWM	Russell 2000	Existing	Under review	Hold under review	Tier 2	Under review	Breadth diversifier	Yes: EWJ / RWM	Weakest current sleeve; requires direct duel
EEM	Emerging Markets	Existing	Under review	Hold under review	Tier 2	Under review	Non-U.S. risk sleeve	Yes: FXI / INDA / EUM	Must justify itself more clearly
CASH	Residual cash	Existing	Under review	Hold	Tier 1	—	Optionality	—	Meaningful reserve while alternatives are tested

14

POSITION CHANGES EXECUTED THIS RUN

- None.

Reasons:

- The next review should confirm pricing, research, ranking, and scorecard first.
- The current portfolio still needs the live alternative-duel outputs before a forced implementation change.
- The higher-value fix this run is decision quality, not performative turnover.

CURRENT PORTFOLIO HOLDINGS AND CASH

- Starting capital (EUR): 100000.00
- Invested market value (EUR): 96777.28
- Cash (EUR): 15566.74
- Total portfolio value (EUR): 112344.02
- Since inception return (%): 12.34
- Pricing basis requested close date: 2026-05-20
- FX reference date: 2026-05-20

Ticker	Public index / exposure	Shares	Price (local)	Currency	Market value (local)	Market value (EUR)	Weight %
SPY	S&P 500	44	741.25	USD	32615.00	28116.38	25.03
QQQ	Nasdaq 100	48	713.15	USD	34231.20	29509.66	26.27
IWM	Russell 2000	90	279.87	USD	25188.30	21714.05	19.33
EEM	Emerging Markets	309	65.46	USD	20227.14	17437.19	15.52
CASH	Residual cash	-	1.00	EUR	15566.74	15566.74	13.86

Watchlist / dynamic radar memory

Theme	Regional / style bucket	Primary proxy	Status	Why it stays visible
KOSPI 200 / Korea large cap	Korea / Taiwan	EWY	Strong challenger	Broad discovery keeps it visible even though it did not make the compact board.
MSCI Taiwan / Taiwan large cap	Korea / Taiwan	EWT	Strong challenger	Broad discovery keeps it visible even though it did not make the compact board.
U.S. Value Factor	U.S. factor / style alternatives	VLUE	Strong challenger	Broad discovery keeps it visible even though it did not make the compact board.
S&P/TSX 60	North America ex-U.S.	EWC	Strong challenger	Broad discovery keeps it visible even though it did not make the compact board.
China large cap	Greater China	EXI	Strong challenger	Broad discovery keeps it visible even though it did not make the compact board.
U.S. Quality Factor	U.S. factor / style alternatives	QUAL	Strong challenger	Broad discovery keeps it visible even though it did not make the compact board.
FTSE MIB	continental Europe	EWI	Strong challenger	Broad discovery keeps it visible even though it did not make the compact board.
AEX	continental Europe	EWN	Strong challenger	Broad discovery keeps it visible even though it did not make the compact board.
Mexico large cap	Latin America	EWW	Strong challenger	Broad discovery keeps it visible even though it did not make the compact board.
S&P 500 Equal Weight	U.S. factor / style alternatives	RSP	Strong challenger	Broad discovery keeps it visible even though it did not make the compact board.

Discovery coverage checkpoint

Regional / style bucket	Status	Candidates scanned	Eligible proxies	Strongest candidate	Proxy	Score
U.S. core leadership	Published	3	3	Nasdaq 100	QQQ	1.99
U.S. factor / style alternatives	Close challenger, not funded	4	4	U.S. Value Factor	VLUE	2.24
continental Europe	Close challenger, not funded	6	6	FTSE MIB	EWI	1.68
UK	Close challenger, not funded	1	1	FTSE 100	EWU	1.30
Switzerland	Close challenger, not funded	1	1	SMI	EWL	1.26
North America ex-U.S.	Close challenger, not funded	1	1	S&P/TSX 60	EWC	1.83
developed Asia-Pacific	Published	2	2	Nikkei 225	EWJ	2.42

Regional / style bucket	Status	Candidates scanned	Eligible proxies	Strongest candidate	Proxy	Score
Korea / Taiwan	Close challenger, not funded	2	2	KOSPI 200 / Korea large cap	EWY	2.43
Greater China	Close challenger, not funded	2	2	China large cap	FXI	1.77
India	Lower priority this run	1	1	Nifty 50	INDA	0.74
Latin America	Close challenger, not funded	2	2	Mexico large cap	EWW	1.46
Africa	Lower priority this run	1	1	South Africa large cap	EZA	0.57
ASEAN	Lower priority this run	1	1	Indonesia large cap	EIDO	0.50
Middle East	Close challenger, not funded	1	1	Saudi Arabia large cap	KSA	1.05
EM broad	Published	1	1	Emerging Markets	EEM	2.11

Lane continuity notes

- Retained entries: none
- New entries: S&P 500, Nasdaq 100, Russell 2000, Emerging Markets broad
- Dropped entries: none
- Strong challengers not published: Japan large-cap equities, Germany cyclical equities, Europe broad large-cap equities
- What would most likely change the board next run: Cleaner confirmation in Japan or Europe broadens the funded opportunity set next run.

This report is provided for informational and educational purposes only.

It does not constitute investment advice, an offer, or a solicitation to buy or sell any security. Markets involve risk, including the risk of loss. Any model portfolio, ranking, or scenario analysis in this report is hypothetical and may differ materially from real-world execution, liquidity, taxes, costs, timing, and investor suitability.